done if you'd invested in People Express (which promptly bought the farm) or Pan Am (which declined from $9 in 1983 to $4 in 1984 thanks to inept management)?

Let's say you knew that steel was making a comeback, and so you took a list of steel stocks, taped it to a dart board, and threw a dart at LTV. LTV declined from $26½ to $1⅛ between 1981 and 1986, roughly the period in which Nucor, a company in the same industry, rose from $10 to $50. (I owned both, so why did I sell my Nucor and hold on to my LTV? I might as well have thrown darts, too.)

In case after case the proper picking of markets would have resulted in your losing half your assets because you'd picked the wrong stocks. If you rely on the market to drag your stock along, then you might as well take the bus to Atlantic City and bet on red or black. If you wake up in the morning and think to yourself, "I'm going to buy stocks because I think the market is going up this year," then you ought to pull the phone out of the wall and stay as far away as possible from the nearest broker. You're relying on the market to bail you out, and chances are, it won't.

If you want to worry about something, worry about whether the sheet business is getting better at West Point-Pepperell, or whether Taco Bell is doing well with its new burrito supreme. Pick the right stocks and the market will take care of itself.

That's not to say there isn't such a thing as an overvalued market, but there's no point worrying about it. The way you'll know when the market is overvalued is when you can't find a single company that's reasonably priced or that meets your other criteria for investment. The reason Buffett returned his partners' money was that he said he couldn't find any stocks worth owning. He'd looked over hundreds of individual companies and found not one he'd buy on the fundamental merits.

The only buy signal I need is to find a company I like. In that case, it's never too soon nor too late to buy shares.

What I hope you'll remember most from this section are the following points:

- Don't overestimate the skill and wisdom of professionals.
- Take advantage of what you already know.
- Look for opportunities that haven't yet been discovered and certified by Wall Street—companies that are "off the radar scope."
- Invest in a house before you invest in a stock.